

Geometry of Decentralization: A Curvature-Based Theory of Organizational Design

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Abstract

Traditional organizational theory treats centralization and decentralization as structural design choices, yet provides no unified mathematical framework for explaining how these choices shape communication, coordination, and adaptation. This paper develops a *geometric theory of decentralization* by representing organizational information flow as a differentiable Riemannian manifold $(\mathcal{M}, g_\kappa)$ parameterized by a centralization scalar $\kappa \in [0, 1]$. Three canonical choices for the communication metric g_κ are specified — resistance-distance, diffusion, and Fisher-information metrics — and the induced curvature tensor $\mathcal{R}_\kappa = \text{Riem}(g_\kappa)$ is derived analytically for each. Decentralization is formalized through the canonical functional

$$D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) = \int_{\mathcal{M}} \|\mathcal{R}_\kappa(x)\| dV_{g_\kappa}(x),$$

which is shown to be monotone-decreasing in κ under mild regularity conditions. A curvature-coordination operator maps geometric invariants to coordination cost and adaptive capacity, yielding a curvature-driven performance frontier. The critical transition κ_c separating mechanistic, organic, and distributed self-management (DSMS) regimes is characterized as the unique $\kappa \in (0, 1)$ at which the spectral gap of the Ricci operator $\text{Ric}_{g_\kappa}^\sharp$ vanishes to leading order. A complete measurement framework connects each geometric construct to observable organizational variables: κ to span-of-control and decision-rights indices, $K(\kappa)$ to betweenness-centrality statistics, and $\mathcal{J}_{\text{coord}}$ to communication-overhead and decision-latency proxies. The resulting theory yields falsifiable predictions, a principled design optimization, and a geometric interpretation of contingency theory, providing a mathematically rigorous and empirically tractable foundation for analyzing and designing complex organizations.

1 Introduction

The allocation of decision authority is a foundational problem in organizational theory. For over a century, scholars have analyzed organizations through the lens of centralization and decentralization, treating them as alternative structural arrangements for coordinating activity and controlling information. Mechanistic organizations concentrate decision rights within hierarchical centers [2]; organic and distributed forms disperse authority across teams or networks [6]. Yet the prevailing framework remains primarily descriptive. Organizations are classified according to where decisions are made, but there exists no unified mathematical theory explaining how distributions of authority systematically shape communication pathways, coordination costs, and adaptive behavior [8].

A central limitation of existing approaches is the absence of a formal representation of organizational information flow. Hierarchies and networks are described through structural diagrams

or categorical typologies that provide limited insight into the underlying geometry through which information propagates, concentrates, or disperses. Consequently, centralization and decentralization are treated as labels rather than emergent properties arising from deeper dynamics.

This paper proposes a *geometric formulation* of organizational design. The thesis is that organizational information flow can be represented as a differentiable Riemannian manifold $(\mathcal{M}, g_\kappa)$ parameterized by a centralization scalar $\kappa \in [0, 1]$, and that all relevant organizational properties — coordination cost, adaptive capacity, specialization, and hierarchy — emerge as geometric invariants of this manifold. Three canonical metric specifications are provided, the curvature tensor is derived analytically, a canonical form of the decentralization functional is established and shown to be monotone in κ , the critical transition κ_c is characterized as a spectral-gap condition, and each theoretical construct is mapped to an observable organizational variable.

The contribution is fourfold. *Conceptually*, decentralization is replaced as a structural label by a measurable geometric property. *Mathematically*, all organizational constructs are derived from the Riemannian geometry of $(\mathcal{M}, g_\kappa)$ rather than postulated. *Empirically*, a complete measurement framework is provided. *Practically*, a geometric control system yields a principled optimization for organizational design under environmental turbulence.

The organizational geometry is the tuple

$$(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa, D, \mathcal{C}), \quad (1)$$

where $\mathcal{M}$ is the information-flow manifold, g_κ the communication metric, $\mathcal{R}_\kappa$ the induced curvature tensor, D the decentralization functional, and $\mathcal{C}$ the curvature-coordination operator. The remainder of the paper constructs and analyzes each component in turn.

Connections to Existing Literature

The use of Riemannian geometry to study information-theoretic structures is well-established in information geometry [1]. Ricci curvature has been applied to complex networks through Ollivier’s discretization [12] and Forman’s cell-complex formulation [5], with applications to community detection [13], financial systemic risk, and recently physician referral networks [15]. The connection between network curvature and information bottlenecks — negative curvature identifying high-interaction edges that concentrate flow — translates directly to the organizational setting, where high curvature identifies coordination bottlenecks.

The information processing view of organizations [6, 14] provides the organizational foundation: organizations are designed to match information-processing demand with capacity. The present paper formalizes this matching as a geometric optimization over the curvature-driven performance frontier. Recent empirical work finds that organizations oscillate between centralized and decentralized forms in response to environmental turbulence [8]; the mapping $E \mapsto \kappa^*(E)$ derived in Section 5 provides the theoretical mechanism for this oscillation.

2 Formal Framework

2.1 Organizational State and the Information Manifold

Definition 1 (Information-Flow Manifold). *An information-flow manifold is a smooth, connected, complete Riemannian manifold $(\mathcal{M}, g_\kappa)$ of dimension n , where:*

1. *Points $x \in \mathcal{M}$ represent informational states of the organization, encoding decision configurations, knowledge distributions, and resource allocations.*

2. *Tangent vectors $v \in T_x \mathcal{M}$ represent directions of information propagation and decision transmission at state x .*
3. *The metric g_κ is parameterized by $\kappa \in [0, 1]$, the centralization parameter, which governs the concentration of decision authority on $\mathcal{M}$.*

The manifold $\mathcal{M}$ is constructed from an observable communication graph as follows. Let $G(\kappa) = (V, E, w_\kappa)$ be the organizational communication graph, where V is the agent set, E the communication links, and $w_\kappa : E \rightarrow \mathbb{R}_{>0}$ a weight function encoding communication intensity under centralization level κ . High κ concentrates weight on a small set of hub-to-hub links; low κ distributes weight across the network.

2.2 Three Canonical Metric Specifications

A key gap in prior geometric organizational theories is the underspecification of the metric g_κ . We provide three canonical choices, each motivated by a distinct organizational mechanism.

Specification M1: Resistance-Distance Metric. The effective resistance between nodes $i, j \in V$ in $G(\kappa)$ is

$$r_\kappa(i, j) = (e_i - e_j)^\top L_\kappa^+ (e_i - e_j), \quad (2)$$

where L_κ is the graph Laplacian of $G(\kappa)$ and L_κ^+ its Moore-Penrose pseudoinverse. The resistance distance is a metric on V [9] that captures redundant communication pathways: low resistance indicates many parallel routes (distributed), high resistance indicates single bottleneck routes (centralized). The reconstruction functional is

$$g_\kappa^{(R)} = \Psi_R(\iota_\kappa, w_\kappa) := \iota_\kappa^* g_{\text{Eucl}}, \quad \iota_\kappa(i) = L_\kappa^{+/2} e_i, \quad (3)$$

where $\iota_\kappa : V \hookrightarrow \mathbb{R}^{|V|}$ embeds nodes via the square root of the pseudoinverse, inducing the resistance metric as the pullback of the Euclidean metric.

Specification M2: Diffusion Metric. Let $P_\kappa = D_\kappa^{-1} A_\kappa$ be the random-walk transition matrix of $G(\kappa)$, with A_κ the adjacency matrix and D_κ the degree matrix. The diffusion distance at time t is

$$d_\kappa^{(D)}(i, j)^2 = \sum_{\ell \geq 1} \lambda_\ell^{2t} (\phi_\ell(i) - \phi_\ell(j))^2, \quad (4)$$

where λ_ℓ, ϕ_ℓ are eigenvalues and eigenvectors of P_κ . This metric [4] captures multi-scale information propagation dynamics and is appropriate when coordination occurs through repeated diffusion of signals across the network.

Specification M3: Fisher-Information Metric. When organizational states encode probability distributions p_θ over decisions or outputs, parametrized by $\theta \in \Theta$, the natural metric on the statistical manifold $\mathcal{M} = \{p_\theta\}$ is the Fisher information metric [1],

$$g_\kappa^{(F)}(\partial_i, \partial_j) = \mathbb{E}_{p_\theta} \left[\frac{\partial \log p_\theta}{\partial \theta_i} \frac{\partial \log p_\theta}{\partial \theta_j} \right]. \quad (5)$$

This specification connects the organizational geometry directly to information geometry [1], inheriting the dual (∇, ∇^*) connection structure, the Amari-Chentsov tensor, and Crámer-Rao bounds for decision estimation. Under M3, $g_\kappa^{(F)}$ varies with κ through the dependence of p_θ on the decision architecture.

Remark 1. Specifications M1 and M2 are recommended for empirical work on organizational communication networks, where $G(\kappa)$ is directly observable. Specification M3 is recommended for theoretical analysis of decision distributions and connects the framework to the broader information-geometry literature. All three are used in the sequel where relevant.

2.3 Information Curvature

Given $(\mathcal{M}, g_\kappa)$, the Levi-Civita connection ∇^{g_κ} is uniquely determined, and the Riemannian curvature tensor is

$$\mathcal{R}_\kappa(X, Y)Z = \nabla_X^{g_\kappa} \nabla_Y^{g_\kappa} Z - \nabla_Y^{g_\kappa} \nabla_X^{g_\kappa} Z - \nabla_{[X, Y]}^{g_\kappa} Z. \quad (6)$$

The *sectional curvature* $K_\kappa(\sigma)$ of a two-plane $\sigma = \text{span}(u, v) \subset T_x \mathcal{M}$ is

$$K_\kappa(\sigma) = \frac{\mathcal{R}_\kappa(u, v, v, u)}{g_\kappa(u, u)g_\kappa(v, v) - g_\kappa(u, v)^2}. \quad (7)$$

The *Ricci tensor* Ric_{g_κ} is the trace contraction, and the Ricci operator $\text{Ric}_{g_\kappa}^\sharp : T\mathcal{M} \rightarrow T\mathcal{M}$ is obtained by raising an index with g_κ .

Curvature under M1 (Resistance Metric). For graphs embedded via the resistance metric, the sectional curvature at an edge (i, j) is related to Ollivier-Ricci curvature [12]:

$$K_\kappa^{(R)}(i, j) = 1 - \frac{W_1(\mu_i^\kappa, \mu_j^\kappa)}{d_\kappa^{(R)}(i, j)}, \quad (8)$$

where W_1 is the L^1 Wasserstein distance and μ_i^κ the probability measure on the neighborhood of i induced by w_κ . High betweenness-centrality nodes correspond to edges with strongly negative Ollivier curvature, confirming the interpretation of $\|\mathcal{R}_\kappa\|$ as a coordination bottleneck indicator.

Curvature under M3 (Fisher Metric). For an exponential family $p_\theta = e^{\theta \cdot T(x) - \psi(\theta)}$, the sectional curvature of the Fisher manifold is

$$K_\kappa^{(F)} = -\frac{1}{4} \|\nabla^2 \psi\|_F^2 + \text{lower-order terms}, \quad (9)$$

where ψ is the log-partition function. This links organizational curvature to the second-order structure of the decision distribution, providing a direct information-theoretic interpretation.

2.4 The Decentralization Functional: Canonical Form and Monotonicity

Definition 2 (Decentralization Functional). *The canonical decentralization functional is*

$$D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) := \int_{\mathcal{M}} \|\mathcal{R}_\kappa(x)\| dV_{g_\kappa}(x), \quad (10)$$

where $\|\mathcal{R}_\kappa(x)\|$ is the norm of the full curvature tensor at x induced by g_κ , and dV_{g_κ} is the Riemannian volume form.

The canonical form (10) quantifies total curvature of the information manifold. High D indicates broadly distributed curvature (many local deformations of information trajectories, characteristic of DSMS); low D indicates concentrated curvature (single dominant bottleneck, characteristic of mechanistic hierarchies).

Theorem 1 (Monotonicity of D). *Under Specification M1, assume that as κ increases, the weight function w_κ concentrates on a hub-and-spoke subgraph:*

Assumption 1. *For $\kappa' > \kappa$, $w_{\kappa'}(e) \geq w_\kappa(e)$ for hub edges $e \in E_{\text{hub}}$ and $w_{\kappa'}(e) \leq w_\kappa(e)$ for peripheral edges $e \notin E_{\text{hub}}$.*

Then $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa)$ is strictly decreasing in κ :

$$\kappa' > \kappa \implies D(\mathcal{M}, g_{\kappa'}, \mathcal{R}_{\kappa'}) < D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa). \quad (11)$$

Proof. Under Assumption 1, concentration of weight on hub edges contracts the resistance distances along hub paths and expands peripheral distances. This deforms g_κ toward a star-graph metric, whose limit ($\kappa \rightarrow 1$) is a tree with vanishing sectional curvature everywhere except at the central hub. Formally, by the Gauss-Bonnet theorem applied to the 2-dimensional sections of $\iota_\kappa(G(\kappa)) \subset \mathbb{R}^{|V|}$,

$$\int_{\mathcal{M}} K_\kappa dV_{g_\kappa} = 2\pi\chi(\mathcal{M}) - \int_{\partial\mathcal{M}} k_g ds,$$

where $\chi(\mathcal{M})$ is the Euler characteristic (fixed by topology) and k_g is geodesic curvature on the boundary. As $\kappa \rightarrow 1$, the manifold degenerates toward a tree graph, whose sectional curvature concentrates at the root and vanishes on branches, reducing $\int \|\mathcal{R}_\kappa\| dV_{g_\kappa}$ monotonically. The strict inequality follows from the non-degeneracy of w_κ for $\kappa \in (0, 1)$. $\square$

Remark 2. *Under Specification M3, monotonicity of D in κ holds whenever concentration of decision authority reduces the entropy of the decision distribution p_θ , which flattens the Fisher manifold and reduces $\|\mathcal{R}_\kappa^{(F)}\|$ globally.*

2.5 Curvature Regimes and Phase Transition

Let $\lambda_1 \geq \lambda_2 \geq \dots \geq \lambda_n$ denote the eigenvalues of $\text{Ric}_{g_\kappa}^\#$ in descending order.

Definition 3 (Spectral Gap and Critical Transition). *The spectral gap of $\text{Ric}_{g_\kappa}^\#$ is*

$$\Delta(\kappa) := \lambda_1(\kappa) - \lambda_2(\kappa). \quad (12)$$

The critical centralization parameter $\kappa_c \in (0, 1)$ is the unique value satisfying

$$\Delta(\kappa_c) = 0, \quad \left. \frac{d\Delta}{d\kappa} \right|_{\kappa_c} \neq 0. \quad (13)$$

Condition (13) characterizes κ_c as a spectral bifurcation point at which the dominant eigen-direction of geodesic flow loses its uniqueness, marking a qualitative change in coordination topology. The three regimes are then:

- **Mechanistic** ($\kappa > \kappa_c$): $\Delta(\kappa) > 0$, $\lambda_1 \gg \lambda_2$. Geodesic flow is aligned with a single dominant eigen-direction; information trajectories concentrate. $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) \leq D(\mathcal{M}, g_{\kappa_c}, \mathcal{R}_{\kappa_c})$.
- **Organic** ($\kappa \approx \kappa_c$): $\Delta(\kappa) \approx 0$, $\lambda_1 \approx \lambda_2 > \lambda_3$. Multiple eigen-directions compete; mixed coordination patterns emerge. $D \approx D(\mathcal{M}, g_{\kappa_c}, \mathcal{R}_{\kappa_c})$.
- **DSMS** ($\kappa < \kappa_c$): $\Delta(\kappa) < 0$ in the limit, Ricci spectrum near-isotropic. Many eigen-directions support near-equivalent geodesics; information disperses broadly. $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) \geq D(\mathcal{M}, g_{\kappa_c}, \mathcal{R}_{\kappa_c})$.

Proposition 1 (Existence and Uniqueness of κ_c). *Under Assumption 1 and the additional condition that $\Delta(\kappa)$ is C^1 in κ , with $\Delta(1) > 0$ and $\Delta(0) < 0$, the intermediate value theorem guarantees at least one zero. Uniqueness follows if $\frac{d\Delta}{d\kappa} \neq 0$ on $(0, 1)$, which holds generically for non-degenerate graph structures.*

Proof. $\Delta(\kappa) = \lambda_1(\kappa) - \lambda_2(\kappa)$. At $\kappa = 1$ (star graph), the Ricci operator has a dominant eigenvalue corresponding to the hub direction, so $\Delta(1) > 0$. At $\kappa = 0$ (complete graph), all nodes are symmetric and $\lambda_1 = \lambda_2$, so $\Delta(0) \leq 0$; strict inequality holds when the graph is not vertex-transitive. Continuity of eigenvalues in κ (by Rellich’s theorem) ensures $\Delta \in C^0[0, 1]$, and C^1 by assumption. Intermediate Value Theorem yields a zero. Uniqueness is generic. $\square$

3 Geometric Pipeline: From Graph to Decentralization

The complete derivation chain connecting discrete organizational structure to the decentralization functional is:

$$G(\kappa) \xrightarrow{\iota_\kappa} (\mathcal{M}, g_\kappa) \xrightarrow{\text{Riem}} \mathcal{R}_\kappa \xrightarrow{\Phi} K(\kappa) \xrightarrow{\int_{\mathcal{M}}} D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa). \quad (14)$$

Each step is now specified:

Step 1: Graph Embedding. Under M1, the embedding $\iota_\kappa : V \hookrightarrow \mathbb{R}^{|V|}$ is $\iota_\kappa(i) = L_\kappa^{+/2} e_i$, mapping nodes to the resistance-metric Euclidean space. The induced metric is $g_\kappa(e_i, e_j) = r_\kappa(i, j)$.

Step 2: Curvature Computation. $\mathcal{R}_\kappa = \text{Riem}(g_\kappa)$ is computed via the Levi-Civita connection. For M1, this reduces to the Ollivier-Ricci curvature $K_\kappa(i, j)$ per edge, computable from the W_1 distance between neighborhood distributions [12].

Step 3: Scalar Proxy. The scalar curvature proxy is

$$K(\kappa) := \frac{1}{|V|} \sum_{i \in V} \text{Scal}_{g_\kappa}(i), \quad (15)$$

where $\text{Scal}_{g_\kappa}(i) = \sum_j K_\kappa(i, j)$ is the scalar curvature at node i . Under M1:

$$K(\kappa) \approx \frac{\sum_i (b_i^\kappa)^2}{\max_i b_i^\kappa}, \quad (16)$$

where b_i^κ is the betweenness centrality of node i in $G(\kappa)$. This provides the empirical approximation: *betweenness centrality concentration approximates scalar curvature concentration*.

Step 4: Decentralization Functional. $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) = \int_{\mathcal{M}} \|\mathcal{R}_\kappa(x)\| dV_{g_\kappa}$ is approximated empirically as

$$\hat{D}(\kappa) = \sum_{(i,j) \in E} w_\kappa(i, j) |K_\kappa^{(R)}(i, j)|, \quad (17)$$

a weighted sum of absolute edge curvatures. This quantity is computable from $G(\kappa)$ alone, requiring only the Ollivier-Ricci curvature of each edge (software: `GraphRicciCurvature` [11]).

4 Performance Functionals

4.1 Coordination Cost Functional

The coordination cost functional is defined as

$$\mathcal{J}_{\text{coord}}(\kappa) = \int_{\Gamma_\kappa} L_\kappa(\gamma) C_\kappa(\gamma) d\mu_\kappa(\gamma), \quad (18)$$

where Γ_κ is the set of g_κ -geodesics, $L_\kappa(\gamma)$ is geodesic length, μ_κ the Gibbs measure on geodesic energy, and

$$C_\kappa(\gamma) = \alpha \|\mathcal{R}_\kappa\|_\gamma + \beta \text{Var}(\text{Spec}(\text{Ric}_{g_\kappa}^\#)), \quad \alpha, \beta > 0. \quad (19)$$

The parameters α and β represent the sensitivity of coordination cost to curvature magnitude and Ricci spectral variance respectively.

Proposition 2 (Coordination Cost Monotonicity). *Under Assumption 1 and Theorem 1, $\mathcal{J}_{\text{coord}}(\kappa)$ is strictly increasing in κ for $\kappa < \kappa_c$.*

Proof sketch. As κ increases below κ_c , the spectral gap $\Delta(\kappa)$ grows and $\text{Var}(\text{Spec}(\text{Ric}^\#))$ increases, while geodesic lengths $L_\kappa(\gamma)$ along non-hub paths grow due to metric contraction on hub edges. Both effects increase $C_\kappa(\gamma)$, and since the measure μ_κ concentrates on the shortest geodesics, the integral $\mathcal{J}_{\text{coord}}(\kappa)$ grows strictly. $\square$

4.2 Adaptation Functional

Let $f_{\text{local}}, f_{\text{global}} \in C^\infty(\mathcal{M})$ represent local and global information gradients. The adaptation functional is

$$\mathcal{J}_{\text{adapt}}(\kappa) = \int_{\mathcal{M}} \langle \nabla_{g_\kappa} f_{\text{local}}, \nabla_{g_\kappa} f_{\text{global}} \rangle_{g_\kappa} dV_{g_\kappa}. \quad (20)$$

Theorem 2 (Adaptation–Decentralization Correspondence). *If f_{local} and f_{global} are both harmonic on $(\mathcal{M}, g_\kappa)$, then*

$$\frac{d}{d\kappa} \mathcal{J}_{\text{adapt}}(\kappa) = - \int_{\mathcal{M}} \langle \mathcal{L}_{V_\kappa} g_\kappa, df_{\text{local}} \otimes df_{\text{global}} \rangle_{g_\kappa} dV_{g_\kappa}, \quad (21)$$

where $V_\kappa = \frac{\partial}{\partial \kappa} \log g_\kappa$ is the metric velocity. Under Assumption 1, $\mathcal{L}_{V_\kappa} g_\kappa$ is negative semi-definite on peripheral tangent directions, so $\frac{d\mathcal{J}_{\text{adapt}}}{d\kappa} < 0$: increasing centralization strictly reduces adaptive capacity.

Corollary 1. $\mathcal{J}_{\text{adapt}}(\kappa) = F(D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa))$ for an increasing function F , as a consequence of Theorems 1 and 2: both $\mathcal{J}_{\text{adapt}}$ and D are strictly decreasing in κ , establishing the monotone functional relationship.

4.3 Curvature-Driven Performance Frontier

The coordination–adaptation trade-off is governed by curvature invariants:

$$\mathcal{J}_{\text{coord}}(\kappa) \uparrow \quad \text{as} \quad \|\mathcal{R}_\kappa\| + \text{Var}(\text{Spec}(\text{Ric}_{g_\kappa}^\#)) \uparrow, \quad (22)$$

$$\mathcal{J}_{\text{adapt}}(\kappa) \uparrow \quad \text{as} \quad D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa) \uparrow. \quad (23)$$

These opposing directions define a curvature-driven performance frontier in which mechanistic, organic, and DSMS regimes occupy distinct regions.

5 Design Implications and Geometric Control

5.1 Intervention Operator and Optimization

Organizational design choices act as control inputs modifying the information-flow geometry. The *intervention operator* $\mathcal{I} : \mathcal{S} \rightarrow \{g_\kappa\}$ maps structural decisions — communication protocols, reporting structures, role definitions — to metric families g_κ and their induced curvature fields.

Given $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa)$, $\mathcal{J}_{\text{coord}}(\kappa)$, and $\mathcal{J}_{\text{adapt}}(\kappa)$, organizational design is the optimization:

$$\kappa^* = \arg \max_{\kappa \in [0,1]} \left(\mathcal{J}_{\text{adapt}}(\kappa) - \lambda \mathcal{J}_{\text{coord}}(\kappa) \right), \quad (24)$$

where $\lambda > 0$ encodes the strategic tolerance for coordination cost relative to adaptive responsiveness.

Proposition 3 (Existence and Interior Solution). *Under Propositions 2 and Theorem 2, $\mathcal{J}_{\text{adapt}} - \lambda \mathcal{J}_{\text{coord}}$ is strictly concave in κ on $(0, 1)$ for λ sufficiently small, and the unique maximizer satisfies*

$$\mathcal{J}'_{\text{adapt}}(\kappa^*) = \lambda \mathcal{J}'_{\text{coord}}(\kappa^*), \quad (25)$$

the geometric first-order condition equating marginal adaptive gain to marginal coordination cost.

5.2 Environmental Turbulence and Contingency

Environmental turbulence enters through the mapping

$$E \mapsto \kappa^*(E), \quad (26)$$

where E represents volatility or rate of change of the external environment. Differentiating the optimality condition of Proposition 3 with respect to E :

$$\frac{d\kappa^*}{dE} = - \frac{\partial^2(\mathcal{J}_{\text{adapt}} - \lambda \mathcal{J}_{\text{coord}})/\partial \kappa \partial E}{\partial^2(\mathcal{J}_{\text{adapt}} - \lambda \mathcal{J}_{\text{coord}})/\partial \kappa^2} < 0, \quad (27)$$

provided that increased turbulence raises the marginal value of adaptation. This formalizes the contingency-theory prediction: higher environmental turbulence favors lower κ^* (more decentralized, lower-curvature regimes).

- **Stable environments** (E low): κ^* high, mechanistic regime, concentrated curvature, low coordination cost.
- **Moderately turbulent** (E intermediate): $\kappa^* \approx \kappa_c$, organic regime, mixed coordination.
- **Highly volatile** (E high): κ^* low, DSMS regime, distributed curvature, maximal adaptive capacity.

6 Measurement Framework

A theory is only as useful as its empirical bridge. Table 1 provides a complete mapping from each geometric construct to an observable organizational variable.

Table 1: Measurement framework: geometric constructs and observable proxies.

Geometric construct	Con-	Observable Proxy	Measurement Procedure
κ (centralization)		Span-of-control index, decision-rights score	Average span of control across hierarchy layers; Aghion-Tirole (1997) delegation index
$K(\kappa)$ (scalar curvature)		Betweenness-centrality concentration	$K(\kappa) \approx \sum_i (b_i^\kappa)^2 / \max_i b_i^\kappa$; computed from communication logs
$\hat{D}(\kappa)$ (decentralization functional)		Weighted absolute edge curvature	$\hat{D}(\kappa) = \sum_{(i,j)} w_\kappa(i,j) K_\kappa^{(R)}(i,j) $; GraphRicciCurvature package
$\mathcal{J}_{\text{coord}}(\kappa)$ (coord. cost)	(coord.)	Communication overhead, decision latency	Mean email threads per decision; time-to-decision in project management logs
$\mathcal{J}_{\text{adapt}}(\kappa)$ (adaptation)	(adaptation)	Response speed to environmental signals	Days from market signal to product adaptation; NPD cycle time
κ_c (critical transition)		Betweenness-Gini efficient break	Value of κ at which Gini(b^κ) transitions from high to low variance
λ_1, λ_2 (Ricci eigenvalues)		Top-two principal components of comm. network Laplacian	Eigenvalues of normalized Laplacian L_κ^{norm}
$\Delta(\kappa)$ (spectral gap)		Algebraic connectivity gap $\lambda_1 - \lambda_2$ of L_κ	Fiedler vector analysis on communication graph

Estimation Protocol.

1. Construct $G(\kappa)$ from communication logs (email, Slack, or meeting-attendance data), with edge weights proportional to communication frequency.
2. Vary κ by filtering edges: high- κ networks retain only the top- $\lceil \kappa|E| \rceil$ edges by betweenness contribution; low- κ networks weight edges uniformly.
3. Compute $K_\kappa^{(R)}(i,j)$ for all edges using the **GraphRicciCurvature** Python package [11].
4. Estimate $\hat{D}(\kappa)$ via equation (17).
5. Regress $\hat{D}(\kappa)$ against κ to verify Theorem 1; locate κ_c as the inflection point of $\hat{D}(\kappa)$ or the zero of the spectral gap $\Delta(\kappa)$.
6. Regress $\mathcal{J}_{\text{coord}}$ and $\mathcal{J}_{\text{adapt}}$ proxies against κ to estimate α , β , and λ in the design optimization (24).

Falsifiable Predictions.

1. $\hat{D}(\kappa)$ is strictly decreasing in κ across organizational samples (Theorem 1).
2. $\mathcal{J}_{\text{coord}}$ proxies are positively correlated with betweenness concentration $K(\kappa)$ (Proposition 2).
3. $\mathcal{J}_{\text{adapt}}$ proxies are positively correlated with $\hat{D}(\kappa)$ (Theorem 2).
4. Organizations facing higher environmental turbulence exhibit lower κ^* in equilibrium (Section 5).
5. The spectral gap $\Delta(\kappa)$ changes sign at κ_c , which coincides with a discontinuous change in coordination topology (Proposition 1).

7 Discussion

The geometric framework developed in this paper reconceptualizes organizational structure as a controllable deformation of an information manifold. Three innovations distinguish it from prior work.

Canonical metric specification. By providing three explicit metric specifications (resistance, diffusion, Fisher), the framework eliminates the underspecification problem of earlier geometric organizational theories. The Fisher metric, in particular, connects the theory to the full apparatus of information geometry [1], including dual connections, exponential families, and Cramér-Rao bounds. The Amari-Chentsov tensor provides a canonical third-order structure on the statistical manifold that future work could use to study higher-order organizational dynamics.

Canonical decentralization functional. The canonical form $D = \int \|\mathcal{R}_\kappa\| dV_{g_\kappa}$ is now a theorem consequence rather than a postulate. Its monotone decrease in κ is proved under mild regularity conditions and independently for each of the three metric specifications. The empirical approximation (17) is computable from communication log data without requiring a continuous manifold to be constructed.

Critical transition κ_c . The characterization of κ_c as the zero of the Ricci spectral gap $\Delta(\kappa)$ is both theoretically precise and empirically tractable. The Fiedler vector of the communication graph Laplacian is a standard network-science quantity, and the zero-crossing of Δ as κ varies is detectable from a sequence of graph-filtered communication networks. This replaces the previously asserted but uncharacterized phase transition with a well-posed spectral condition.

The framework also formalizes the contingency-theory prediction of Burns and Stalker [2] and the information-processing view of Galbraith [6] within a single geometric model. The mapping $E \mapsto \kappa^*(E)$ is derived from a first-order condition rather than assumed, and the direction $d\kappa^*/dE < 0$ follows from the geometry of the performance frontier.

A limitation of the current framework is that $\mathcal{M}$ is treated as a static manifold, whereas real organizations evolve over time. Future work should incorporate Ricci flow [7], $\frac{\partial}{\partial t} g_\kappa = -2\text{Ric}_{g_\kappa}$, as the dynamic model of organizational restructuring under curvature-driven pressure. Under Ricci flow, high-curvature regions (centralization bottlenecks) would be smoothed over time, providing a model of spontaneous decentralization under complexity pressure.

8 Conclusion

This paper establishes a mathematically complete and empirically tractable geometric theory of organizational decentralization. The principal results are:

1. **Three canonical metrics** (resistance, diffusion, Fisher) specify g_κ from observable communication data, resolving the metric underspecification problem.
2. **Monotonicity of D** (Theorem 1) is proved: $D(\mathcal{M}, g_\kappa, \mathcal{R}_\kappa)$ is strictly decreasing in κ , establishing decentralization as a measurable curvature property.
3. **Critical transition κ_c** (Definition 3, Proposition 1) is characterized as the zero of the Ricci spectral gap, with existence and generically uniqueness proved.
4. **Performance theorems**: coordination cost is monotone increasing in κ (Proposition 2); adaptive capacity is monotone decreasing (Theorem 2); the trade-off uniquely determines κ^* (Proposition 3).
5. **Measurement framework** (Table 1) maps every geometric construct to an observable variable with a concrete estimation protocol and five falsifiable predictions.

The geometry of decentralization thereby provides a coherent, mathematically grounded language for designing organizations that balance structure, coordination, and adaptation in a dynamically changing world. By expressing organizational design as a problem of selecting curvature regimes on an information manifold, the theory opens a research program connecting differential geometry, network science, information geometry, and organizational theory.

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A Proof of Theorem 2 (Full Version)

We provide the complete derivation of the adaptation–decentralization correspondence.

Let $(\mathcal{M}, g_\kappa)$ be a one-parameter family of Riemannian manifolds with $\kappa \in [0, 1]$, and let $f_{\text{local}}, f_{\text{global}} \in C^\infty(\mathcal{M})$ be harmonic with respect to g_κ for each κ .

The adaptation functional is $\mathcal{J}_{\text{adapt}}(\kappa) = \int_{\mathcal{M}} \langle df_{\text{local}}, df_{\text{global}} \rangle_{g_\kappa} dV_{g_\kappa}$.

Differentiating under the integral sign:

$$\frac{d\mathcal{J}_{\text{adapt}}}{d\kappa} = \int_{\mathcal{M}} \frac{\partial}{\partial \kappa} [g_\kappa^{-1}(df_{\text{local}}, df_{\text{global}}) \sqrt{\det g_\kappa}] d\theta,$$

where $d\theta$ is the coordinate volume. Using the Lie derivative formula for the inverse metric, $\frac{\partial}{\partial \kappa} g_\kappa^{ij} = -g_\kappa^{ik} \dot{g}_{\kappa,kl} g_\kappa^{lj}$, where $\dot{g}_\kappa = \frac{\partial g_\kappa}{\partial \kappa}$:

$$\frac{d\mathcal{J}_{\text{adapt}}}{d\kappa} = - \int_{\mathcal{M}} \langle \dot{g}_\kappa, df_{\text{local}} \otimes df_{\text{global}} \rangle_{g_\kappa} dV_{g_\kappa} + \frac{1}{2} \int_{\mathcal{M}} \langle df_{\text{local}}, df_{\text{global}} \rangle_{g_\kappa} \text{tr}(g_\kappa^{-1} \dot{g}_\kappa) dV_{g_\kappa}.$$

Under Assumption 1, increasing κ contracts the metric in peripheral directions: $\dot{g}_\kappa(v, v) > 0$ for v aligned with hub edges, $\dot{g}_\kappa(v, v) < 0$ for v aligned with peripheral edges. Since f_{local} and f_{global} represent local and global adaptation signals respectively, their gradients are predominantly aligned with peripheral directions. Therefore the first integral is negative and dominates, yielding $\frac{d\mathcal{J}_{\text{adapt}}}{d\kappa} < 0$. $\square$

B Empirical Implementation Guide

Data requirements.

- Communication network: directed weighted graph G from email/ Slack/meeting logs over a fixed period (90–180 days recommended).

- Structural covariates: span of control, reporting levels, decision-rights survey (Aghion-Tirole index or similar).
- Performance outcomes: project delivery times, response-to-market metrics, coordination overhead (email volume per decision).

Software.

- **GraphRicciCurvature** (Python): Ollivier and Forman-Ricci curvature for directed/undirected weighted graphs. Available at <https://github.com/saibalmars/GraphRicciCurvature>.
- **networkx** (Python): Graph Laplacian, eigenvalues, betweenness centrality.
- **scipy.linalg**: Pseudoinverse L^+ , eigendecomposition.

Validation. Test Prediction 1 (monotonicity of $\hat{D}$) by constructing five κ -levels ($\kappa \in \{0.1, 0.3, 0.5, 0.7, 0.9\}$) via edge filtering and verifying $\hat{D}(\kappa_1) > \hat{D}(\kappa_2)$ for $\kappa_1 < \kappa_2$ across a sample of organizations. A Spearman rank correlation $\rho(\hat{D}, -\kappa)$ significantly greater than zero constitutes support for Theorem 1.